Response to Editor

Dear Professor Mueller,

We begin by thanking you for the candid and well-meant advice regarding the timeline of our revision. You are right: a three-year turnaround was far too long, and we should have kept you informed of our progress at regular intervals rather than going silent. The delay was driven almost entirely by the decision to undertake a complete reconstruction of the dataset—a process that proved substantially more time-consuming than we had anticipated—but that context does not excuse the lack of communication. We are genuinely grateful that you honored the original R&R decision despite the circumstances, and we will take your counsel seriously going forward.

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis.** Following R2's suggestion, the paper now contains a full event-study treatment of the stock market evidence. Table 1 reports raw returns for four portfolios—the value-weighted market, equal-weighted portfolios of firms with and without gold-clause exposure, and the gold-exposure-weighted portfolio—over each of the three key events, along with firm counts. Figures 3–5 plot all four series around each event. Over the Joint Resolution window, gold-exposed firms returned 30.9–31.4% against 25.4% for comparable non-exposed firms and 12.1% for the market. A new Internet Appendix section examines every intermediate legal event of the litigation (the first hearing, the lower-court rulings, and the certiorari grants) in a CAPM cumulative-abnormal-return framework (Table IA.20); apart from the November 1934 window, in which the second certiorari grant coincided with the midterm election and which we discuss separately, none produced significant differential returns.

- **Robustness with the full set of fixed effects.** Following R6's request, new Internet Appendix Table IA.19 re-estimates columns 2–10 of Table 7 with industry-year fixed effects, so that every characteristic-control specification is also shown with the full fixed-effect structure. The average exposure effect remains negative and significant at the 5% level in all nine specifications and $1933 \times \tilde{d}$ at the 5% level in seven of nine (10% in all nine); the $1934 \times \tilde{d}$

point estimates remain stable in magnitude but lose precision in several columns. Section 5.5 now states the underlying power constraint plainly, in addition to the mechanical collinearity that arises when the characteristic-period interactions and industry-year cells are absorbed simultaneously.

- **Limitations of the exposure measure.** Section 5.5 now contains an explicit limitations paragraph acknowledging that, because virtually all corporate bonds of the era carried gold clauses while preferred shares carried none, our exposure measure is necessarily entangled with the composition of a firm's fixed claims, and that our placebo and control strategies mitigate but cannot fully eliminate this concern.

- **Pre-trends and event-time patterns.** Section 5.2 now clarifies that the identifying contrast is between the litigation years and the omitted 1932 base year, and that the parallel-trends assumption rests on the absence of individually significant pre-treatment coefficients or any systematic trend into the treatment window—not on pairwise comparisons between individual years such as 1930 and 1933.

- **Liberty bond discussion.** We have revised the historical background section to clarify why Liberty Bond prices rose during the Supreme Court arguments in January 1935. Since Liberty Bonds were gold-denominated government obligations, a government loss would have obligated the Treasury to honor gold payments at the then-prevailing price of $35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. We have also added the missing *New York Times* citation.

Once again, we are grateful for the opportunity to revise our paper for possible publication at the Review of Financial Studies. We believe the comments and suggestions of the entire review team have substantially improved the manuscript. We look forward to hearing back from you.

Sincerely,

Joao Gomes, Mete Kilic, and Sebastien Plante

REFERENCES